Microsoft Corp. (MSFT)

1QFY: At the center of 2027 enterprise deployments

MSFT	12m Price Target: **$700.00**	Price: **$531.01**	Upside: **31.8%**

BUY CL

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Microsoft is indicated +3% after hours post a solid 1QFY (September) report. 1QFY revenue of $92.3bn (+19% cc yoy) was 2% above the Street and non-GAAP EPS of $4.89 (+27% yoy) was 3% above the Street; we detail key pieces to guidance below (FactSet). In the last two weeks, we believe investor focus across the AI ecosystem has shifted to the sustainability of token demand (and a more nuanced discussion around token economics and mix), and the depth of the financing markets. Against this backdrop, Microsoft illustrated several proofpoints that suggest its strategy on enabling AI in the enterprise is working into 2027, with respect to both apps and its platform/infrastructure business:

- **Coding agents have been the primary use case for AI thus far; the next phase of adoption hinges on broader AI transformation in Enterprise.** We are seeing evidence of Microsoft being at the center of this transition, with Copilot revenue growth accelerating qoq, daily users +~50% qoq and customers actively consuming Copilot credits through usage based billing +75%. At the platform layer, Foundry revenue grew >3x yoy and customers building agentic solutions across multiple models increased +5x, with use-case deployments expanding across automated order taking, inventory maintenance, and end-to-end business processes. We think Microsoft is still in the early stages of inflection from experimentation toward production, and that diffusion will be a primary driver of growth in 2027.
- **On model strategy: MAI alongside a model-agnostic harness is resonating.** Microsoft views the enterprise AI framework as three-pronged: 1) Customers can use the latest frontier model, 2) dynamically route across models based on quality, speed + cost, or 3) train proprietary models on customer traces, including with MAI. Importantly, the MAI strategy is not about

Key Data

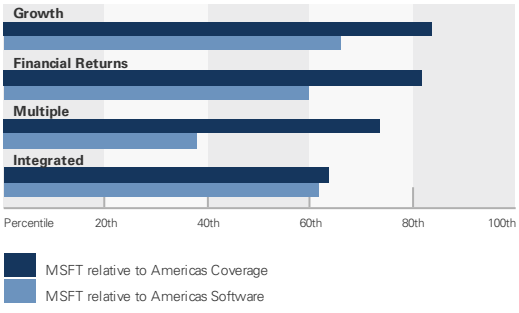
Market cap: $4.0tr
Enterprise value: $3.9tr
3m ADTV: $12.7bn
United States
Americas Software
M&A Rank: 3

GS Forecast

	6/26	6/27E	6/28E	6/29E
Revenue ($ mn) New	**331,839.0**	**395,264.5**	**488,391.0**	**597,289.5**
Revenue ($ mn) Old	331,839.0	389,404.1	471,894.4	570,130.7
EBITDA ($ mn)	194,537.0	244,597.4	318,439.5	405,931.6
EBIT ($ mn)	155,237.0	185,266.1	229,123.2	281,676.3
EPS ($) New	**17.28**	**19.73**	**24.28**	**29.87**
EPS ($) Old	17.28	19.21	23.08	27.87
P/E (X)	26.6	26.9	21.9	17.8
Dividend yield (%)	0.8	0.7	0.8	0.8
Net debt/EBITDA (X)	(0.2)	(0.1)	0.0	(0.0)

	9/26	12/26E	3/27E	6/27E
EPS ($)	4.89	4.84	4.90	5.10

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY CL

Microsoft Corp. (MSFT)

Rating since Jan 21, 2021

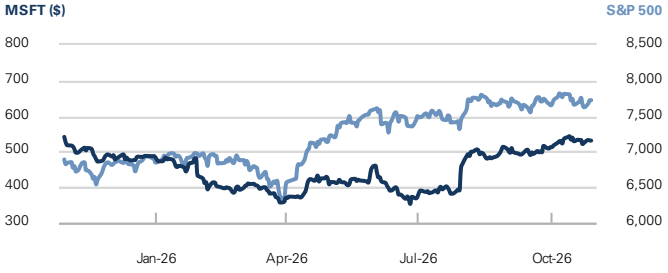
Ratios & Valuation

	6/26	6/27E	6/28E	6/29E
P/E (X)	26.6	26.9	21.9	17.8
EV/EBITDA (X)	17.4	16.0	12.4	9.7
EV/sales (X)	10.2	9.9	8.1	6.6
FCF yield (%)	2.0	1.3	0.5	1.7
EV/DACF (X)	18.1	17.9	14.1	11.0
CROCI (%)	31.4	28.9	28.8	28.7
ROE (%)	32.8	29.5	28.9	28.2
Net debt/EBITDA (X)	(0.2)	(0.1)	0.0	(0.0)
Net debt/equity (%)	(8.3)	(4.5)	0.8	(1.4)
Interest cover (X)	50.9	50.0	53.1	58.6
Inventory days	4.0	4.3	4.2	4.3
Receivable days	82.9	81.8	80.5	81.3
Days payable outstanding	120.3	131.0	128.4	129.3

Growth & Margins (%)

	6/26	6/27E	6/28E	6/29E
Total revenue growth	17.8	19.1	23.6	22.3
EBITDA growth	24.3	25.7	30.2	27.5
EPS growth	22.4	14.2	23.0	23.0
DPS growth	9.9	8.4	5.7	5.0
Gross margin	67.9	65.9	63.3	61.4
EBIT margin	46.8	46.9	46.9	47.2

Price Performance



	3m	6m	12m
Absolute	35.0%	23.7%	(2.0)%
Rel. to the S&P 500	29.9%	14.4%	(12.6)%

Source: FactSet. Price as of 28 Oct 2026 close.

Income Statement ($ mn)

	6/26	6/27E	6/28E	6/29E
Total revenue	331,839.0	395,264.5	488,391.0	597,289.5
Cost of goods sold	(106,374.0)	(134,663.1)	(179,317.6)	(230,754.6)
SG&A	(34,666.0)	(36,424.0)	(37,925.9)	(39,472.3)
R&D	(35,562.0)	(38,911.4)	(42,024.3)	(45,386.3)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**194,537.0**	**244,597.4**	**318,439.5**	**405,931.6**
Depreciation & amortization	(39,300.0)	(59,331.4)	(89,316.3)	(124,255.3)
EBIT	**155,237.0**	**185,266.1**	**229,123.2**	**281,676.3**
Net interest inc./(exp.)	250.0	(1,496.4)	(3,413.4)	(4,308.2)
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**159,404.0**	**183,741.6**	**225,709.9**	**277,368.1**
Provision for taxes	(30,618.0)	(36,871.1)	(45,142.0)	(55,473.6)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**128,786.0**	**146,870.5**	**180,567.9**	**221,894.5**
Net inc. (post-exceptionals)	**133,749.0**	**147,077.5**	**180,567.9**	**221,894.5**
EPS (basic, pre-except) ($)	**17.33**	**19.78**	**24.34**	**29.95**
EPS (diluted, pre-except) ($)	**17.28**	**19.73**	**24.28**	**29.87**
EPS (ex-ESO exp., dil.) ($)	**--**	**--**	**--**	**--**
DPS ($)	3.56	3.86	4.08	4.28
Div. payout ratio (%)	20.5	19.5	16.8	14.3
Wtd avg shares out. (basic) (mn)	7,429.3	7,424.1	7,417.7	7,409.7
Wtd avg shares out. (diluted) (mn)	7,453.5	7,444.1	7,437.7	7,429.7

Balance Sheet ($ mn)

	6/26	6/27E	6/28E	6/29E
Cash & cash equivalents	20,935.0	30,986.1	22,659.4	40,728.2
Accounts receivable	80,876.0	96,315.7	119,175.7	146,876.8
Inventory	1,397.0	1,795.9	2,363.3	3,011.2
Other current assets	104,502.0	60,956.6	46,644.8	52,530.5
Total current assets	**207,710.0**	**190,054.3**	**190,843.2**	**243,146.8**
Net PP&E	337,253.0	518,033.0	742,993.5	955,231.6
Net intangibles	138,260.0	135,197.0	133,097.0	131,197.0
Total investments	36,348.0	37,808.0	37,808.0	37,808.0
Other long-term assets	38,805.0	42,872.2	47,743.0	58,840.3
Total assets	**758,376.0**	**923,964.5**	**1,152,484.7**	**1,426,223.6**
Accounts payable	42,416.0	54,223.2	71,902.5	91,615.2
Short-term debt	0.0	0.0	0.0	0.0
Current lease liabilities	–	–	–	–
Other current liabilities	126,409.0	146,830.4	199,819.8	257,834.2
Total current liabilities	**168,825.0**	**201,053.5**	**271,722.3**	**349,449.4**
Long-term debt	31,067.0	31,090.0	29,089.0	29,089.0
Non-current lease liabilities	16,532.0	21,719.0	21,719.0	21,719.0
Other long-term liabilities	96,818.0	113,321.1	129,901.5	142,846.5
Total long-term liabilities	**147,164.0**	**169,266.9**	**184,331.6**	**197,886.0**
Total liabilities	**315,989.0**	**370,320.4**	**456,053.8**	**547,335.4**
Preferred shares	–	–	–	–
Total common equity	**442,387.0**	**553,644.1**	**696,430.8**	**878,888.2**
Minority interest	–	–	–	–
Total liabilities & equity	**758,376.0**	**923,964.5**	**1,152,484.7**	**1,426,223.6**
BVPS ($)	59.55	74.57	93.89	118.61

Cash Flow ($ mn)

	6/26	6/27E	6/28E	6/29E
Net income	133,749.0	147,077.5	180,567.9	221,894.5
D&A add-back	43,448.0	58,132.6	89,316.3	124,255.3
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(4,895.0)	22,840.7	2,156.0	(2,655.8)
Others	10,633.0	14,005.9	8,126.5	7,803.6
Cash flow from operations	**182,935.0**	**242,056.6**	**280,166.7**	**351,297.6**
Capital expenditures	(115,948.0)	(190,323.2)	(260,503.3)	(282,485.2)
Acquisitions	(1,743.0)	(397.0)	–	–
Divestitures	–	–	–	–
Others	(21,809.0)	21,799.0	20,000.0	–
Cash flow from investing	**(139,500.0)**	**(168,921.2)**	**(240,503.3)**	**(282,485.2)**
Dividends paid	(26,445.0)	(28,642.1)	(30,250.7)	(31,729.2)
Share issuance/(repurchase)	(20,262.0)	(15,703.3)	(15,656.9)	(15,511.6)
Inc/(dec) in debt	(3,000.0)	(14,077.0)	2,418.0	417.0
Others	(3,035.0)	(4,662.0)	(4,500.5)	(3,919.7)
Cash flow from financing	**(52,742.0)**	**(63,084.3)**	**(47,990.1)**	**(50,743.5)**
Total cash flow	**(9,307.0)**	**10,051.1**	**(8,326.7)**	**18,068.9**
Free cash flow	66,987.0	51,733.4	19,663.4	68,812.4
Free cash flow per share (basic) ($)	9.02	6.97	2.65	9.29

Source: Company data, Goldman Sachs Research estimates.

displacing frontier models, but expanding the set of options Microsoft can offer customers, with the company targeting capabilities comparable to leading frontier models within 3-6 months of release at a fraction of the training cost. Early deployments already span cyber, transcription + coding. We think value accrues to the platform that can provide access to the broadest set of models and optimize the right model for each workload, with MAI giving Microsoft greater control over both performance and economics.

- **Azure growth reflects both broad-based demand and Microsoft's ability to extract efficiencies from the stack.** Azure grew 48% in 1Q and, despite a delay in 3P capacity shifting into 2H, Microsoft guided to 49%-50% cc growth in 2Q, with demand continuing to exceed available supply and growth broad based across enterprises and SMBs, core cloud and AI infrastructure. Microsoft has continued to make progress on bringing capacity online at a faster pace, including adding 24 new data centers in 1QFY and reducing dock-to-live times by ~20% qoq. Importantly, capacity growth is about more than bringing new GPUs online. Engineering improvements across GPUs, CPUs, storage, memory, applications and Foundry created incremental capacity in 1Q, including monetizing previously underutilized CPU capacity, while Copilot throughput improved >50% qoq. Microsoft is also improving underlying silicon economics, with MAI 200 delivering up to 1.7x more tokens per watt across Teams and Copilot and MAI 300 expected to deliver 40% more tokens per watt vs. leading GPU based systems. We think Microsoft has multiple operational levers to translate a given dollar of infrastructure investment into greater revenue capacity and ultimately higher returns.

Earnings Recap

Exhibit 1: 1QFY27 Actuals vs. Estimates

$ millions, unless specified	Actual	1Q27A GSe	1Q27A Street	Actual vs GSe	Actual vs Street
Agents and Infra	$76,795	$75,734	$75,679	1%	1%
%YoY	*25%*	*23%*	*23%*		
Devices and Consumer	$15,484	$14,913	$15,026	4%	3%
%YoY	*-3%*	*-7%*	*-6%*		
Total Revenue	**$92,279**	**$90,648**	**$90,633**	**2%**	**2%**
%YoY	*19%*	*17%*	*17%*		
Operating Income, Adjusted	$45,915	$43,977	$44,006	$1,938	$1,909
% margin	*50%*	*49%*	*49%*	124bps	120bps
% YoY	*21%*	*16%*	*16%*		
Earnings Per Share, Adjusted	**$4.89**	**$4.74**	**$4.73**	**3%**	**3%**
% YoY	*27%*	*23%*	*23%*		
Free Cash Flow (excluding Finance Leases)	$18,633	$20,429	$8,537	-$1,796	$10,096
% margin	*20%*	*23%*	*9%*	-234bps	1077bps
% YoY	*-27%*	*-20%*	*-67%*		
Capex	$45,200	$52,142	$51,685	-13%	-13%
%YoY	*30%*	*49%*	*48%*		
% YoY CC - Azure	48%	45%	45%	4%	3%

Source: FactSet, Company data, Goldman Sachs Global Investment Research

Post results, we update our F27E/F28E/F29E revenue forecasts to $395/$488/$597 bn from $389/$472/$570 bn, and our F27E/F28E/F29E adjusted EPS forecast to $19.73/$24.28/$29.87 from $19.21/$23.08/$27.87. We also introduce F31E forecasts with this report (EPS $46.77).

Valuation and Key Risks

We increase our 12-month price target to $700 (vs. $640 prior), based on a 28x P/E (unchanged) multiple to Microsoft's SNTM adjusted net income while updating our estimates for 4QFY results and initial FY27 guidance. Key downside risks include: longer ramp for internal silicon which can limit market share gains or gross margin expansion, greater investments in projects outside of expectations (e.g., non-Azure), key leadership changes, and more meaningful shift to custom software that could negatively impact its applications business.

Disclosure Appendix

Reg AC

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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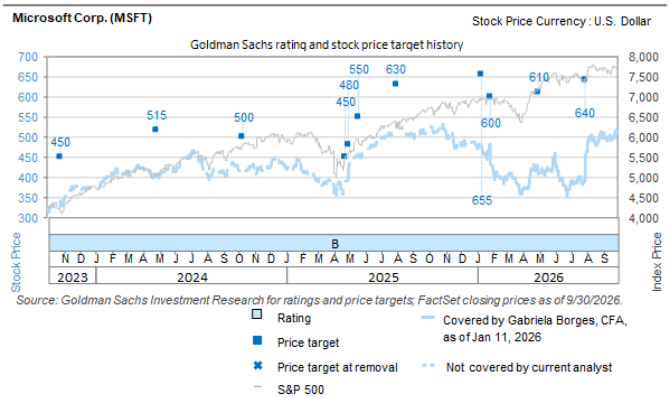
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Price target and rating history chart(s)



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Target price history table(s)

Microsoft Corp. (MSFT)

Date of report	Target price ($)	Closing price ($)
30-Jul-26	640.00	451.10
30-Apr-26	610.00	407.78
29-Jan-26	600.00	433.50
11-Jan-26	655.00	479.28
31-Jul-25	630.00	533.50
20-May-25	550.00	458.17
01-May-25	480.00	425.40
24-Apr-25	450.00	387.30
10-Oct-24	500.00	415.84
26-Apr-24	515.00	406.32

Price targets shown in table(s) are unadjusted for corporate actions.

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